

5th Sem/ Finance, Accounts & Auditing
Subject : Fundamentals of Insurance

Time : 3 Hrs.

M.M. : 60

SECTION-A

Note: Multiple choice questions. All questions are compulsory (6x1=6)

- Q.1 Insurance works on the principle of
a) Sharing of losses b) Probabilities
c) Large numbers d) All of the above
- Q.2 Which of the following may be described as a social device to reduce or eliminate risk of loss to life and property?
a) Insurance b) Saving
c) Investment d) Loan
- Q.3 The person whose risk is covered is known as :
a) Insurer b) Insured
c) Compensator d) None of the above
- Q.4 IRDAI stands for :
a) Insurance Regulatory and Development Authority of India
b) Insurance Research and Development Authority of India

c) Insurance Reforms and Development Authority of India

d) None of the above

Q.5 Principle of indemnity is not applicable to

a) Fire Insurance b) Life Insurance

c) Marine Insurance d) Motor Insurance

Q.6 Which of the following is a principle of insurance

a) Utmost good faith b) Contribution

c) Indemnity d) All of the above

SECTION-B

Note: Objective/ Completion type questions. All questions are compulsory. (6x1=6)

Q.7 Marine is the oldest form of insurance. (True/False)

Q.8 The Company who covers the risk is known as _____ (Insurer / Insured)

Q.9 Indemnity is the amount of uncertainty that exists in a given situation.

Q.10 In which year IRDA act established?

Q.11 The amount paid by the insured to the insurer for insurance is _____.

Q.12 Policies issued for a time period of less than one year are known as _____.

SECTION-C

Note: Short answer type questions. Attempt any eight questions out of ten questions. (8x4=32)

Q.13 Explain the importance of Insurance.

Q.14 Explain the principle of utmost good faith.

Q.15 What are the main elements of life insurance?

Q.16 What do you mean by postal life insurance?

Q.17 What are the types of marine insurance policies?

Q.18 What are the main problems and policies of agriculture insurance?

Q.19 How to determine the premium of fire insurance?

Q.20 What are the important provisions of motor insurance?

Q.21 Describe the salient feature of IRDA act 2000.

Q.22 What is marine insurance?

SECTION-D

Note: Long answer type questions. Attempt any two questions out of three questions. (2x8=16)

Q.23 Define insurance. Explain the nature, purpose and need of insurance.

Q.24 Explain the main elements and types of insurance policy.

Q.25 What are the main function of IRDA and insurance council?